

Robinhood Markets, Inc.

HOOD NASDAQ

Hold	\$93.56 ▼ 1.02%	12M Price Target \$105.00	52-Week Range \$63.52 – \$153.86	Market Cap \$84.12B
------	-----------------	------------------------------	-------------------------------------	------------------------

HOOD: UK Crypto Launch, But Stock Cooling After Big Run

WHAT HAPPENED

- HOOD is launching crypto trading in the UK this week — this matters because Robinhood has been shut out of overseas crypto for years, and getting UK approval means their compliance chops are legit. It's a real revenue unlock, not just a headline.
- The Motley Fool piece flagging 13 business lines above \$100M in annual revenue is the bigger story — it's saying "this isn't a meme-stock crypto casino anymore." That's the narrative shift that got HOOD from \$30 to \$90+.

WHY IT MATTERS

The stock is drifting down slightly despite good news, which usually means the good news was already priced in — HOOD ran from \$63 to \$150+ over the past year and is now digesting those gains. The UK crypto launch is important not for immediate revenue but because it signals Robinhood can navigate a tougher regulatory regime than the US — that opens the door to EU expansion next. The unusual put buying at \$113–\$114 strikes tells me some big money is hedging against a pullback rather than betting on a breakout, which lines up with the sideways action. Bottom line: the business is firing on all cylinders, but the stock needs earnings or a policy catalyst to break out of this \$90–\$100 chop zone.

POLICY & POLITICAL WATCH

The biggest political tailwind for HOOD is the crypto-friendly regulatory posture we've had since the 2024 election — the SEC pulled back on enforcement, and the CLARITY Act (which draws clean lines between what's a security vs. a commodity in crypto) gave exchanges like Robinhood legal certainty they never had. Watch for the stablecoin framework rules being finalized this fall — if Robinhood gets to offer yield-bearing stablecoin products, that's a meaningful new revenue line. The risk on the other side: any move to restore the SEC's "payment for order flow" scrutiny (how Robinhood makes money on stock trades) would hit the core business, but that's off the table under the current administration.

IS IT EXPENSIVE?

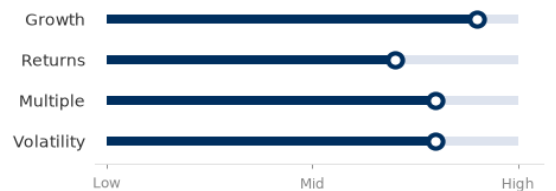
At ~\$94 with ~\$4.2B in expected revenue this year, investors are paying about \$20 for every \$1 of revenue — that's rich versus traditional brokers like Schwab (around 6x) but reasonable versus Coinbase (around 10x) given HOOD's faster growth. On earnings, you're paying about \$50 for every \$1 of profit expected next year, which is a growth-stock multiple — justified only if they keep compounding those 13 business lines. Translation: not cheap, not insane, but you need continued execution to make the math work from here.

WHAT COULD GO WRONG

Key Data

Price (USD)	\$93.56
12M Price Target	\$105.00
Upside / (Downside)	+12.2%
Market Cap	\$84.12B
FY2026E Revenue	\$4,200M
FY2027E Revenue	\$5,100M
FY2026E EPS	\$1.85
FY2027E EPS	\$2.40
Fwd P/E	50.6x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$105.00	\$95.00	\$82.00
6 Months	\$125.00	\$100.00	\$75.00
1 Year	\$145.00	\$105.00	\$65.00
2 Years	\$180.00	\$125.00	\$60.00
5 Years	\$275.00	\$175.00	\$50.00
10 Years	\$450.00	\$250.00	\$40.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Healthcare (+4.48% over 5D) and Materials (+2.88%) — money is rotating into defensive and cyclical value names. Energy also strong (+3.12%) on geopolitical premium.

COOLING OFF: Tech is flat-to-down over 5 days (-0.16%) — this matters for HOOD because it trades like a tech/fintech name, and when tech cools, growth names like HOOD lose momentum.

ROTATION WATCH: Money is moving out of high-multiple growth into value and defensive sectors — classic late-cycle behavior. That's a headwind for HOOD in the short term regardless of company-specific news.

RELATED PLAY: If you like the crypto-friendly policy thesis but want less trading-volume risk, look at COIN (Coinbase) or the crypto infrastructure names — they get the same policy tailwind with different revenue drivers.

WHO'S WINNING IN THIS SPACE?

- COIN (Coinbase): Similar crypto policy tailwind, more direct crypto exposure — moves as a leading indicator for HOOD's crypto business.
- SCHW (Charles Schwab): Traditional broker benefiting from same retail trading enthusiasm but at a cheaper multiple — the "boring" way to play the theme.

HOOD CONTEXT: HOOD has been a leader in this peer group over the past year, but is now consolidating while others catch up. That usually means the next leg higher needs a fresh catalyst — earnings, a major product launch, or a policy win — rather than just riding the sector wave.

WHAT I'D DO WITH THIS STOCK

6/10 Conviction Score

CONVICTION: 6/10 — I like the business, but the stock has already run hard and needs to earn its next leg up rather than just get gifted one.

POSITION SIZE: 2-4% of portfolio — this is a volatile name where the upside is real but drawdowns of 30%+ happen regularly. Don't oversize.

ENTRY POINTS: I'd wait for a pullback to \$82–88, which lines up with where the stock consolidated earlier this summer. Chasing at \$94 with the stock in the middle of its range isn't the trade.

TIME HORIZON: 12–24 months. The catalyst I'm waiting for is either the Q3 earnings report or concrete news on EU expansion / stablecoin regulation clarity.

WHEN TO BAIL: If quarterly transaction revenue drops more than 15% sequentially, or if there's a major shift in crypto policy at the federal level, I'm out. Also watch for insider selling clusters — none right now, but that would change my view.

HEDGING: Simplest hedge is just trimming into strength — sell 25% if it rips to \$115+, giving you room to rebuild on the next dip. If you want protection, buying a put option 10% below the current price acts like insurance — you pay a small premium to protect against a big drop.